

Federal Energy Regulatory Commission
888 1st Street NE
Washington, D.C. 20426

November 21, 2025

RE: Docket No. RM26-4-000

Dear Chairman Swett, Commissioner Rosner, Commissioner See, Commissioner Chang
and Commissioner LaCerte,

Marcus C. Evans Jr.

President, NCSL
Assistant Majority Leader,
Illinois

Lonnie Edgar

Staff Chair, NCSL
Mississippi Joint Legislative
PEER Committee

Tim Storey

Chief Executive Officer,
NCSL

The National Conference of State Legislatures, the bipartisan organization representing the legislatures of our nation's states, territories, commonwealths and Washington, D.C., thanks you for the opportunity to comment on the Department of Energy's Advance Notice of Proposed Rulemaking "Interconnection of Large Loads to the Interstate Transmission System."

NCSL appreciates Secretary Wright's attention to the pressing matter of the impacts of large loads on the energy grid and the associated grid connection challenges. The increasing digitization of everyday life and technological innovations such as artificial intelligence, cloud computing and more are causing large increases in the demand for power beyond what anyone could have anticipated. Large-scale users like those referenced in the proposed rule are critical for the modern economy and have the potential to significantly contribute to the economic development of states and local communities. When paired with smart planning and infrastructure investment, data centers and other large load facilities can help support grid modernization and innovation, accelerate integration of any and all energy generation sources and provide backup generation capacity during periods of peak load demand or emergencies.

However, according to the Department of Energy and the Electric Power Research Institute, total energy demand in the U.S. is expected to potentially increase 15% to 20% in the coming years and data centers' usage share of all electricity in the nation could more than double to almost 10% by 2030. This dramatic increase puts greater pressure on an overburdened and aging power grid and could significantly hamper reliability, raise costs for individual ratepayers, contribute to energy affordability challenges and cause serious cost-sharing concerns among residential users and small businesses. Large load projects also come with siting and permitting issues, especially around grid connection and facility accessibility in areas that lack existing power or service infrastructure to support large facilities. Furthermore, data centers and other large load projects could have negative environmental impacts and community opposition due to their vast water consumption, greenhouse gas and heat emissions, noise pollution, and electronic waste. While many data centers are already taking steps to increase sustainability and mitigate impacts, these concerns remain.

This new proposed rule would bring under federal jurisdiction an issue that is currently handled by the states and has been for decades. While NCSL understands the need for enhanced oversight over how large loads obtain power any such regulatory decisions by FERC should only come after close, careful and deliberate consultation with states early and often throughout the process of rule development to ensure individual and small rate payers

are protected. Such actions should also not remove decision-making powers that have historically been left to the states.

In fact, the wording of the current ANOPR raises several questions:

1. If jurisdiction for interconnection of large loads is claimed by the FERC, what is the process for determining how those large loads will impact an already strained power supply, and who bears responsibility for managing and mitigating the ensuing reliability concerns? Will NERC standards be developed to manage reliability issues? If so, would it need a change in statute to expand EPA OF 2005 Section 215 definition of what is covered in the standards, or would current language be sufficient?
2. How will FERC determine who is responsible for bearing the costs of increased power demand? FERC must work with states to create cost allocation methods that help ensure large-scale energy users are paying their fair share of costs using the "cost causation" and "beneficiary pays" principles while recognizing current jurisdiction on this issue.
3. If FERC claims the jurisdiction referenced in the ANOPR, how will the commission address inconsistencies in cost allocations and, again, will FERC ensure that the large energy users pay sufficiently with the cost causation and beneficiary pays principles?
4. Currently, managing the connection of large hybrid loads, such as those covered by this ANOPR, is left up to the states. If FERC claims jurisdiction over these connections, how will FERC ensure generation facilities have adequate interconnection points for these new loads?
5. In the event available generation capacity is insufficient to meet system demand because of the new load, which entity holds operational authority for determining customer prioritization during system restoration efforts? Does responsibility change if there are power interruptions that affect multiple states versus interruptions confined to one state?

NCSL recently passed [a policy resolution](#) focused on data centers and their impacts on power generation and grid resiliency. In addition to the above request for increased oversight of large load connections in close and consistent consultation with states, we also request that the FERC includes in the final rule the following suggestions:

1. Include state policy makers in all stakeholder discussions regarding data center placement and energy usage and refrain from pre-empting states on siting, permitting, taxation and other regulatory issues relating to the construction and operation of data centers.
 2. Recognize opportunities for data centers to contribute to grid stability and resiliency while mitigating the impact of data centers on rate payers and communities, as well as protect local consumers' need for power when disruptions limit the amount of available power.
 3. Develop incentives and/or implement requirements for data centers regarding onsite generation of power, integration of energy-storage and demand-management systems at new data center projects.
 4. Require utility operators to file documentation related to data centers with appropriate state and federal regulatory agencies that detail terms and conditions of service and associated prices to facilitate transparency and protect rate payers.
 5. In cooperation with states and localities, encourage regional planning for power generation, including building national infrastructure in a way that makes sense for states and localities, nuclear power generation and valuing the grid as a national asset. This approach could disincentivize states from engaging in undue and damaging competition.
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6. In consultation with states and their national associations, establish guidance and oversight of sustainability practices, including reducing emissions, mitigating onsite water consumption, reducing noise pollution and other community concerns.
7. Provide funding and resources to states to help data centers optimize operations through power management, workload optimization and other innovations.
8. Require data centers to regularly report to the appropriate local, state and federal agencies on their electricity and water usage to ensure transparency and facilitate equity in costs.
9. Provide funding and resources to Department of Energy labs and other relevant federal agencies to increase their capacity to work with states and provide technical assistance to help navigate future energy needs and supplies.
10. Promote best-practice cybersecurity, physical security and supply-chain security measures to protect U.S. data center operations from foreign adversary access or compromise.

To solve these pressing issues and drive technological innovation and economic growth, cooperation and collaboration between data centers, utilities, operators, private industry and governments at the state, local and federal levels is crucial. We stand ready to work with the federal government and other public and private stakeholders to invest in infrastructure, improve energy management, and ensure a prosperous future for all Americans.

Sincerely,



Senator Katie Fry Hester
Co-Chair
NCSL Natural Resources, Energy and Environment
Committee



Senator Larry Luick
Co-Chair
NCSL Natural Resources, Energy and Environment
Committee



Senator Brian Feldman
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Senator Sue Rezin
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